Who Sets the Price of a Vote? Theory and Experimental Evidence on Vote Buying and Vote Selling

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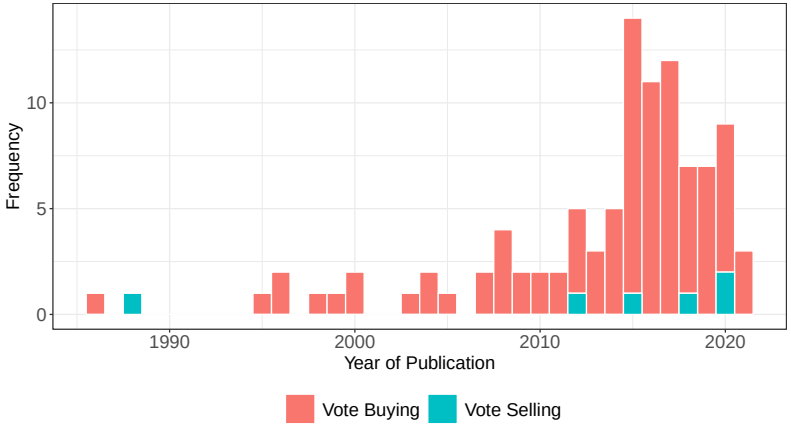
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- Formal models: parties set the price of a vote; voters accept or not.
- Fieldwork: voters often set the price—they ask, request, and bargain.
- ✓ **Our question**: what changes when the voter, not the party, names the price?



Vote Selling Is Under-Studied



Annual frequency of Web of Science publications whose abstracts include the terms "vote buying" and "vote selling."

This Paper in One Slide

- **Theory**: one voter, two parties, same budget. Two price-setting *institutions* for the *same* exchange:
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- **Prediction**: giving the voter price-setting power should transfer a large rent to the voter.
- **Lab experiment** in Chile: 161 participants, 19 sessions.
- **Finding**: the predicted rent does not materialize.
  - ✓ Parties **pay for votes that cannot change the outcome**.
  - ✓ Voters who set prices **ask for about half** of what parties would pay.

The Model as a Motivation: Three Ideas

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   Bargaining is structural: no communication, only posted prices and accept/reject decisions. The rival's acceptance gives the voter somewhere else to sell, so the voter can ask for the whole budget.

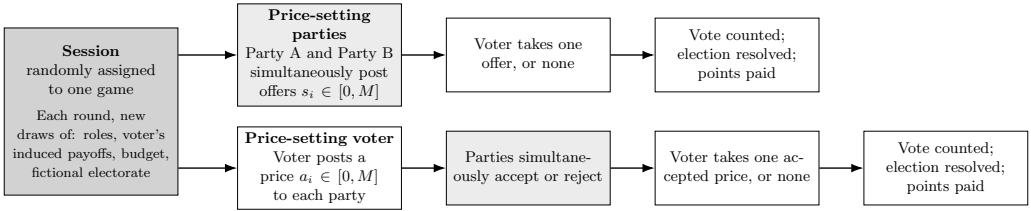
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Proposer advantage

Moving price-setting power to a pivotal voter should raise the voter's earnings by $\min(\Delta, M)$: ideological attachment, capped by the budget. When budgets bind and beliefs about pivotality are correct, loss aversion cannot raise what parties pay.

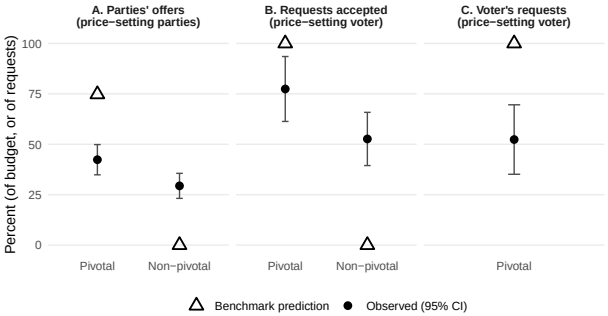
Two Games, Assigned by Session



Shaded boxes: party moves; white boxes: voter moves. A party pays only if the voter takes its offer (or its accepted price); taking it binds the vote.

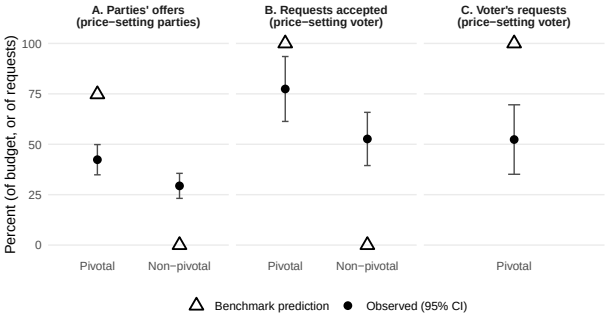
Groups of three, three paid rounds, roles reshuffled each round; random budgets (900–1,800), induced ideological payoffs, and a fictional electorate that makes the voter pivotal or not.

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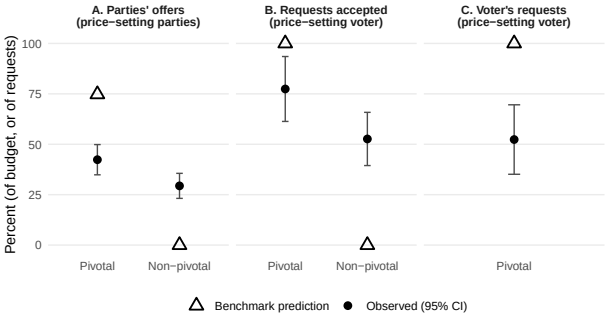
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- × But 50% of parties pay for **non-pivotal** votes (benchmark: 0%).
- × Parties accept 53% of non-pivotal requests.

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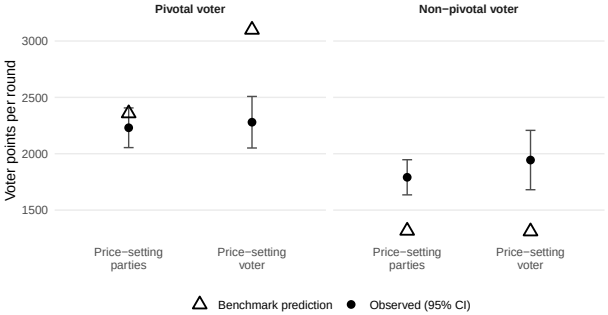
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✓ Voters behave like **cautious ultimatum proposers**: transfer of 788 points vs. a benchmark of 1,361.

Result 3: The Proposer Advantage Disappears

Pivotal voters only; standard errors clustered by session (t_{G-2}):

$$Earnings_{vrs} = \alpha + \tau\ VoterSets_s + \varepsilon_{vrs}$$

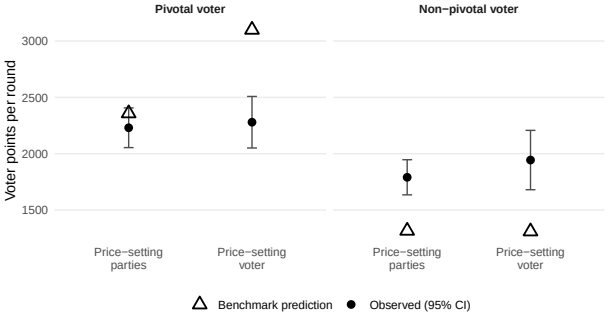


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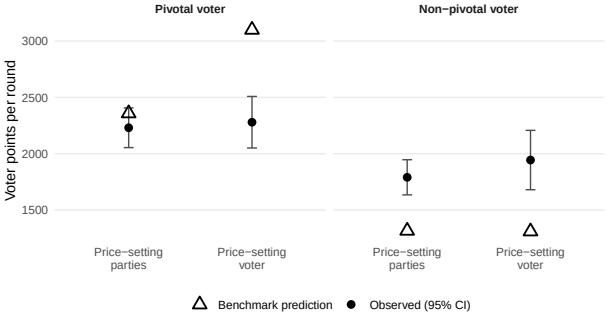


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- Not a power problem: MDE = 427; equivalence bound ±299.

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✓ Then the budget no longer binds and **loss aversion** shapes offers: misperceived pivotality and loss aversion are **complements**.

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- **Evidence**: in the lab, it does not—the rent leaks to voters in similar amounts under both institutions.
- **Public choice**: the incidence of political rents may depend less on who initiates the exchange and more on how well actors judge when a vote is decisive.
- **Policy**: targeting buyers alone misses voter-initiated exchange, but voter initiative does not by itself shift rents toward voters.

Thank you



- Paper: www.HectorBahamonde.com
- Feedback very welcome.